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The gig economy includes food delivery and quick commerce players like Zomato, Blinkit, Swiggy Instamart, as well as mobility players like Rapido



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40 | **ON ANY GIVEN** day in India's crowded cities, delivery riders flit through traffic guided by glowing screens, while apps quietly reshuffle labour in real time. Behind every delivery promise, instant help, or on-demand rides lies a vast workforce that doesn't clock in or sit on payrolls, yet powers some of the country's fastest-scaling businesses. These are India's gig workers, the engine driving India's platform businesses and shaping what is called "the gig economy."

The rise of the gig economy has created several issues, be it protests over worker rights or pay disputes, but at its core, it marks the emergence of a large industry. Quietly and effectively, the model has enabled start-ups to make labour costs a variable component, manage demand spikes, and scale up, creating millions of jobs along the way, even as questions around security and sustainability persist.

The gig economy covers a lot of ground right from food delivery and quick commerce platforms that include Zomato, Blinkit, Swiggy Instamart and Zepto to mobility players like Rapido, and home and beauty services companies like Urban Company, Yes Madam and Snabbt.

These start-ups have grown big and command massive valuations. Eternal, which owns Zomato and quick commerce player Blinkit, has a market capitalisation of about ₹2.35 lakh crore, while rival Swiggy is at ₹71,000 crore. Urban Company, which got listed in 2025, has a market cap of more than ₹17,000 crore, with the unlisted mobility platform Rapido was valued over \$2 billion in the last funding round. According to the Economic Survey 2025-26, the e-commerce segment employs 3.7

million gig workers, followed by logistics at 1.5 million. In all, the 12 million-strong gig economy workforce as of FY25 accounts for 2% of India's workforce.

FORMALISING INFORMALITY

While India's workforce has long been dominated by informal labour, digital platforms are reshaping how this work is organised, discovered and paid for, bringing structure, predictability and scale to what was once fragmented and opaque.

"Unlike traditional informal jobs, which are often marked by uncertain demand and delayed compensation, platform work enables real-time demand discovery and outcome-linked earnings," Rapido says in a statement to *BT*.

Abhishek Sen, Partner, People Advisory Services, EY India, says gig work has always existed in India, from workers in factories and construction sites to drivers, among others. Now, platforms have brought scale with data that matches demand and supply in real time. "It has allowed companies to grow faster, while giving millions of workers easier access to income opportunities. The gig economy works in India because it solves two problems—businesses get scalable, cost-efficient labour, and workers get immediate earning opportunities in cities where traditional jobs haven't kept pace with migration," says Sen.

According to the latest estimates from the CII Centre of Excellence on Skills report 2026, India's broader gig economy is nearly 60 million strong, projected to expand to 90 million by 2030. "The gig workforce helps platform businesses scale rapidly and profitably by converting